

**Court No. - 25**

**Case :-** WRIT - C No. - 56260 of 2005

**Petitioner :-** M/S Venus Stone Crushing Co. Thru' Partner & Another

**Respondent :-** The U.P. Power Corpn. Ltd. Thru' Chairman & Others

**Petitioner Counsel :-** Ramendra Asthana,R.K. Shukla

**Respondent Counsel :-** C.S.C.,W.H. Khan

**Hon'ble Amreshwar Pratap Sahi,J.**

Learned counsel for the petitioner is agreed that the matter may be disposed of finally and there would be no occasion to issue any clarification in respect of the order passed earlier as affidavits have already been exchanged between the parties.

Accordingly, the clarification application stands disposed of.

List in the next cause list for disposal.

18.8.2009

mna

**Court No. - 25**

**Case :-** WRIT - C No. - 56260 of 2005

**Petitioner :-** M/S Venus Stone Crushing Co. Thru' Partner & Another

**Respondent :-** The U.P. Power Corpn. Ltd. Thru' Chairman & Others

**Petitioner Counsel :-** Ramendra Asthana,R.K. Shukla

**Respondent Counsel :-** C.S.C.,W.H. Khan

**Hon'ble Amreshwar Pratap Sahi,J.**

On the request of the learned counsel for the petitioners put up on Wednesday  
i.e. 16.09.2009.

**Order Date :-** 10.9.2009

Akv

**Court No. - 25**

**Case :-** WRIT - C No. - 56260 of 2005

**Petitioner :-** M/S Venus Stone Crushing Co. Thru' Partner & Another

**Respondent :-** The U.P. Power Corpn. Ltd. Thru' Chairman & Others

**Petitioner Counsel :-** Ramendra Asthana,R.K. Shukla

**Respondent Counsel :-** C.S.C.,W.H. Khan

**Hon'ble Amreshwar Pratap Sahi,J.**

Passed over on the request of the learned counsel for the petitioners.

**Order Date :-** 16.9.2009

Akv

**Court No. - 25**

**Case :-** WRIT - C No. - 56260 of 2005

**Petitioner :-** M/S Venus Stone Crushing Co. Thru' Partner & Another

**Respondent :-** The U.P. Power Corpn. Ltd. Thru' Chairman & Others

**Petitioner Counsel :-** Ramendra Asthana,R.K. Shukla

**Respondent Counsel :-** C.S.C.,W.H. Khan

**Hon'ble Sabhajeet Yadav,J.**

List in the next cause list.

**Order Date :-** 14.10.2009

KKM

**Court No. - 25**

**Case :-** WRIT - C No. - 56260 of 2005

**Petitioner :-** M/S Venus Stone Crushing Co. Thru' Partner & Another

**Respondent :-** The U.P. Power Corpn. Ltd. Thru' Chairman & Others

**Petitioner Counsel :-** Ramendra Asthana,R.K. Shukla

**Respondent Counsel :-** C.S.C.,W.H. Khan

**Hon'ble Sabhajeet Yadav,J.**

List in the next cause list.

**Order Date :-** 24.11.2009

LJ/-

**Court No. - 27**

**Case :-** WRIT - C No. - 56260 of 2005

**Petitioner :-** M/S Venus Stone Crushing Co. Thru' Partner & Another

**Respondent :-** The U.P. Power Corpn. Ltd. Thru' Chairman & Others

**Petitioner Counsel :-** Ramendra Asthana,R.K. Shukla

**Respondent Counsel :-** C.S.C.,W.H. Khan

**Hon'ble Sibghat Ullah Khan,J.**

List before the appropriate Court on 15.2.2010.

**Order Date :-** 29.1.2010

vks

**Court No. - 28**

**Case :-** WRIT - C No. - 56260 of 2005

**Petitioner :-** M/S Venus Stone Crushing Co. Thru' Partner & Another

**Respondent :-** The U.P. Power Corpn. Ltd. Thru' Chairman & Others

**Petitioner Counsel :-** Ramendra Asthana, R.K. Shukla

**Respondent Counsel :-** C.S.C., W.H. Khan

**Hon'ble Bala Krishna Narayana, J.**

Heard learned counsel for petitioner and Sri Rajesh Tiwari, learned counsel for respondents.

The petitioner M/s Venus Stone Crushing Company Jhansi, who is consumer of U.P. Power Corporation was granted a power connection of 99 HP. It appears that Meter No. UPP 04500 installed in the premises of the petitioner was recording incorrect reading and on the request of the petitioner the said meter was removed and replaced by a new meter .

The petitioner's meter No. UPP 04500 was tested in the departmental laboratory Jhansi by the Assistant Engineer and upon testing it was found that the said meter had been tampered. The MRI report also indicated tampering with the meter. Thereafter a demand notice of Rs 21,26,630/- was raised by the respondents U.P. Power Corporation , calling upon the petitioner to deposit the amount mentioned in the demand notice, which was based upon ex parte assessment dated 16.10.2003. Since the assessment was made by the respondent corporation without deciding the petitioner's objection against the provisional assessment, the petitioner filed Civil Misc. Writ Petition No. 10148 of 2004 before this Court in which learned counsel for the U.P. Power Corporation pointed out that petitioner's objection had already been decided by order dated 24.12.2003 against which the petitioner had an alternative remedy of appeal in paragraphs 17 and 19 of the Electricity Code of 2002, The writ petition was accordingly dismissed on 3.5.05 on the ground of alternative remedy.

Thereafter, the petitioner preferred an appeal before the respondent no.2 against the order dated 24.12.2003, which was dismissed by the respondent no.2 by his order dated 7.7.2005 (Annexure 14 to the writ petition).

This writ petition has been filed by the petitioner for quashing the orders dated 24.12.2003 and 7.7.05 passed by respondent nos 3 and 2 respectively.

Learned counsel for petitioner made following submissions:

(i) The assessment made by the respondent is not in accordance with the provisions of Section 126 of the Electricity Act 2003 but is as per paragraphs 6.17.1 and 6.17.2 of the U.P. Electricity Supply Code 2002. The respondents while making assessment has calculated the amount thrice of the units assessed whereas in accordance with Section 126(6) of the Electricity Act, 2003, the assessment was required to be made at the rate equal to one and half times of the tariff applicable.

(ii) That while making the assessment, the assessment has been made for the period of 450 days whereas the number of days for which the theft allegedly took place was not ascertainable and hence the period of theft should have been treated as 180 days as provided under paragraph 6.17.1 of the U.P.Electricity Supply Code 2002.

(iii) That the finding recorded in the impugned orders that the petitioner was unauthorisedly consuming Electricity, is not based upon any admissible evidence and the material which has been relied upon by the respondents for the purpose of arriving at the conclusion that the petitioner had tampered with his meter namely the departmental laboratory report and the MRI report of the petitioner's meter were totally inadmissible in evidence for the reason that the testing of the meter was done by the Power Corporation without intimating the petitioner the date of testing of the meter and without obtaining the petitioner's choice with regard to the laboratory where the petitioner may have desired to get his meter tested and the MRI of the petitioner's meter was also done behind his back.

(iv) The respondent no.3 without considering the objections filed by the petitioner against the provisional assessment confirmed the demand notice of Rs.21,26,630/(Twenty one lac twenty six thousand six hundred thirty only) which was raised against the petitioner on the basis of an ex parte assessment and the appellate authority also failed to redeem the illegality committed by the respondent no.3.

(v) The order of the respondent no.3 was challenged before the respondent No.2 on several grounds but the respondent no.2 rejected the petitioner's appeal without considering and examining even a single ground raised before him.

(vi). Learned counsel for petitioner lastly submitted that the order passed by the respondent No.2 is a totally non-speaking order and is vitiated by total non application of mind to the facts of the case and material on record.

Sri Rajesh Tiwari, learned counsel appearing for the U.P.Power Corporation made submissions in support of the impugned orders and submitted that the impugned orders are based upon relevant considerations and supported by cogent reasons and do not suffer from any illegality or perversity calling for any interference by this Court.

After having heard learned counsel for the parties and perused the record of the writ petition as well as the impugned orders , I find that the submissions made by learned counsel for petitioner has force.

This Court in the case of **.Sri Bhagwan Gupta Vs Kanpur Electricity Supply Company Ltd and others 2005 (2) AWC 1269** , has categorically held that while billing in case of theft of Electricity , assessment is to be made at one and a half times of tariff applicable as per Section 126(6) of the U.P.Electricity Supply Act 2003 (herein after referred to as the 'Act') and not as per paragraph 6.16.2 of the 2002 Code and that the provisions of Section 126(6) shall prevail over the provisions of paragraph 6.17.2 of 2002 Code..

However the record reveals that in the present case assessment has been made



in accordance with paragraph 6.17.1 and 6.17.2 . which is absolutely illegal in view of the law laid down in **Sri Bhagwan Gupta Vs Kanpur Electricity Supply Company Ltd and others (Supra).**

The record further shows that although the period during which the theft allegedly took place was not ascertainable and the period of theft should have been treated as 180 days in accordance with the paragraph 6.17.1 of Electricity Supply Code 2002, yet the corporation illegally and without any material on record assessed the petitioner for theft for a period of 450 days which is not tenable at all.

There is also no material on record which may show that the respondent corporation had intimated to the petitioner the date on which the corporation proposed to get the petitioner's meter tested nor the choice of the petitioner with regard to the laboratory where the petitioner may have desired to get his meter tested, was sought. The MRI of the petitioner's meter was also done in the absence of the petitioner.

A perusal of the order passed by the respondent no.3 shows that there was no consideration of the grounds which were raised by the petitioner before him against the demand of Rs.21,26,630.00.

A careful reading of the copy of the memorandum of appeal preferred by the petitioner against the order of respondent no.3 before respondent no.2 copy whereof has been filed as annexure 12 to the writ petition, shows that the order of the respondent no.3 was assailed by the petitioner before the respondent no.2 on several grounds but the respondent no.2 rejected the petitioner's appeal by his order dated 7.7.05 (Annexure 14 to the writ petition) without adverting even to a single ground taken by the petitioner in its appeal.

The order passed by respondent no.2 merely contains a narration of facts of the case and the finding recorded by the respondent no.3 in his order. Neither there is any discussion nor any critical analysis of the grounds on which the legality of the order of the respondent no.3 was challenged by the petitioner before the respondent no.2 and the petitioner's appeal has been dismissed without assigning any reason.

There cannot be any dispute about the fact that the Appellate Authority having been conferred the appellate powers under a statute performs judicial functions. For arriving at any conclusion it is necessary that after nothing the arguments, reasons may be given for either accepting or rejecting the same as it is only the process of thought which can make the conclusion so arrived to become a subject matter of scrutiny by a higher forum and thus in the event of arriving at a conclusion there is no process of reasoning, no thought in respect of the matter in issue has been expressed on the arguments so advanced, it cannot be said to be an order in the eye of law.

As the order of the Appellate authority has been found to be faulty for the reasons indicated herein above this Court does not propose to go into the merits of the various submissions advanced by the learned counsel for the petitioner on the basis of which he has tried to demonstrate that the the order passed by the Executive Engineer is liable to be set aside as it is the function of the Appellate Authority first to deal with the same and record reasons and

finding upon which it is to be judged by this Court.

For the aforesaid reasons the impugned order dated 7.7.2005 (Annexure 14 to the writ petition ) can not be sustained and is liable to be quashed.

The writ petition is allowed in part.

The order dated 7.7.2005(Annexure 14 to writ petition ) passed by respondent No.2 is hereby quashed.

The appeal of the petitioner is restored. The respondent No.2 is directed to consider and decide the petitioner's appeal afresh strictly in accordance with law and in the light of the observations made herein above within a period of two months from the date of production of certified copy of this order.

Till the petitioner's appeal is decided the recovery of the disputed electricity dues from the petitioner shall remain stayed.

**Order Date :-** 23.2.2010

cps

**Court No. - 26**

**Case :-** WRIT - C No. - 56260 of 2005

**Petitioner :-** M/S Venus Stone Crushing Co. Thru' Partner & Another

**Respondent :-** The U.P. Power Corpn. Ltd. Thru' Chairman & Others

**Petitioner Counsel :-** Ramendra Asthana, R.K. Shukla

**Respondent Counsel :-** C.S.C., W.H. Khan

**Hon'ble Bala Krishna Narayana, J.**

Heard Shri H.P. Dube, learned counsel for the respondents.

This modification application has been moved on behalf of the U.P. Power Corporation supported by affidavit of one Lokesh Kumar, Executive Engineer, Electricity Distribution Division, Jhansi. .

This is an application for modification of my order dated 23.2.2010 by which I had finally disposed of the writ petition with a direction to the respondent No. 2 to decide the petitioner's appeal afresh in accordance with law after quashing the appellate order.

Shri H.P. Dube submitted that even though before passing of the order dated 23.2.2010, a notification had been issued by the State Government on 14.7.2006 notifying that for the purpose of appeal under Section 197, the Divisional Commissioner of the concerned division shall be the appellate authority but this fact could not be brought to the notice of the Court at the time of hearing and as such a direction has been issued by this Court to the respondent No. 2 to decide the petitioner's appeal. A prayer has been made that the order dated 23.2.2010 be modified by providing that instead of respondent No. 2, the Divisional Commissioner of the concerned division shall decide the petitioner's appeal.

Learned counsel for the petitioner has no objection to the prayer made by learned counsel for the respondents.

For the aforesaid reasons, the application is allowed. The order dated 23.2.2010 passed by me is modified to the extent that the petitioner's appeal pending before the respondent No. 2 shall be decided by the Divisional Commissioner, Jhansi as provided under the notification dated 14.7.2006.

The records pertaining to the petitioner's appeal shall be transmitted to the respondent No. 2 to the Divisional Commissioner, Jhansi Division, Jhansi within a period of three weeks from the date of production of certified copy of this order before him. Thereafter, the appellate authority shall decide

petitioner's appeal within a further period of four weeks.

**Order Date :- 20.8.2010**

Pk

**Court No. - 49**

Correction Application No.310764 of 2010

In

**Case :-** WRIT - C No. - 56260 of 2005

**Petitioner :-** M/S Venus Stone Crushing Co. Thru' Partner & Another

**Respondent :-** The U.P. Power Corpn. Ltd. Thru' Chairman & Others

**Petitioner Counsel :-** Ramendra Asthana,R.K. Shukla

**Respondent Counsel :-** C.S.C.,W.H. Khan

**Hon'ble Bala Krishna Narayana,J.**

Learned counsel for the applicant is permitted to correct the prayer clause.

This is an application for correction of the order dated 20.8.2010.

The application is allowed.

Correction has been incorporated in the original order dated 20.8.2010.

Office is directed to correct the certified copy accordingly, if already issued.

**Order Date :-** 26.10.2010

Bhaskar